

25STCV28656 25STCV28656

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Case Number: 25STCV28656 Hearing Date: August 13, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on Demurrer

The Demurrer to the Second Amended Complaint

filed by Frank Williams, Williams Capital Group, LLC, and Capital Direct

Funding, Inc. is overruled.

BACKGROUND

Plaintiffs Thomas Washington, as Trustee of the Thomas Washington Revocable Living Trust dated November 14, 2016 (Washington), and Sharray Marie Washington-Clarke (Washington-Clarke) filed this action Frank Williams; Capital Direct Funding, Inc.; Peak Foreclosure Services Inc.; Williams Capital Group, LLC, a limited liability Company (Williams Capital); Robert P. Sievers; David M. Posner; Joan Salwen Posner; Euclid 3161 LLC a California Limited Liability Company (Euclid 3161); and Raul C. Mercado (collectively "Defendants"), alleging that the defendants obstructed Plaintiffs' efforts to refinance two loans secured by an apartment building in Lynwood (the Property) and then caused the Property to be sold at a trustee's sale.

The causes of action in the Second Amended Complaint (SAC) are: (1) Violation of Civil Code Section 2943; (2) Interference with Contract; (3) Promissory Estoppel; (4) Promissory Fraud; (5) Fraud/Intentional Misrepresentation; (6) Negligent Misrepresentation; (7) Breach of Contract; (8) Breach of Implied Covenant; (9) Wrongful Foreclosure; (10) Quiet Title; (11) Cancellation of Instrument; (12) Violation of Civil Code Section 2924f; and (13) Violation of Business and Professions Code Section 17200 et seq.

Frank Williams, Williams Capital Group, LLC,
and Capital Direct Funding, Inc. (collectively, "Demurring Defendants") filed a
Demurrer. Plaintiffs filed an Opposition.

REQUEST FOR JUDICIAL NOTICE

Plaintiffs request judicial notice of a
Grant Deed recorded with the Los Angeles County Recorder on October 23, 2024.
(RJN, at p. 2:1-2, Ex. A.) Demurring Defendants do not object to judicial
notice of the deed's existence. (Reply, at p. 3:6-7.) A court may "deduce and
rely upon the legal effect" of a recorded instrument where that effect is clear
from its face. (Fontenot v. Wells
Fargo Bank, N.A. (2011) 198
Cal.App.4th 256, 265 (Fontenot), disapproved on another
ground in Yvanova v. New Century
Mortgage Corp. (2016) 62
Cal.4th 919, 939, fn. 13.) The deed's recordation and the terms of
its granting clause are capable of immediate and accurate determination from
the deed itself. The Court grants the request as to the recordation and the
deed's legally operative language, and it does not notice any disputed or
disputable fact stated in the instrument. (Evid. Code, § 452, subds. (c), (h).)

LEGAL STANDARD

When considering demurrers, courts read the
allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-721.)
A
court gives the pleading "a reasonable interpretation, reading it as a whole
and its parts in their context." (Blank
v. Kirwan (1985) 39 Cal.3d 311,
318.) In a demurrer proceeding, the defects must be apparent on the
face of the pleading or from matters properly subject to judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116
Cal.App.4th 968, 994.) "A
demurrer tests the pleading alone, and not the evidence or the facts alleged.'
[Citation.]" (E-Fab, Inc. v.
Accountants, Inc. Services
(2007) 153 Cal.App.4th 1308, 1315.) Courts therefore assume the

truth of the complaint's properly pleaded or implied factual allegations. (Ibid.) They do not accept as true deductions, contentions, or conclusions of law or fact. (Stonehouse Homes LLC v. City of Sierra Madre (2008) 167 Cal.App.4th 531, 538.)

ANALYSIS

I. Capacity to Sue

First, Demurring Defendants argue that each cause of action fails because Washington-Clarke lacks the capacity to sue. (Dem., at p. 2:13-16.)

Code of Civil Procedure section 430.10, subdivision (b) permits a demurrer where "[t]he person who filed the pleading does not have the legal capacity to sue." (Code Civ. Proc., § 430.10, subd. (b).) Capacity and standing are separate objections. Incapacity is "merely a legal disability, such as infancy or insanity." (Color-Vue, Inc. v. Abrams (1996) 44 Cal.App.4th 1599, 1604.) It bars a party from suing at all, while standing asks whether a cause of action exists in that party's favor. (Ibid.) Here, Demurring Defendants identify no disability of that kind. They contend that Washington-Clarke has no interest in the Property and therefore has no right to relief. (Dem., at p. 4:18-21.) The objection is one of standing, which speaks to whether Washington-Clarke has adequately pleaded a cause of action.

II. Ownership Allegations

Next, Demurring Defendants argue that the SAC alleges only that Washington-Clarke manages the Property. (Dem., at p. 4:18-21.) Indeed, the SAC alleges that Washington is the Trustee of the trust, "which owns the subject property." (SAC ¶ 8.) Additionally, the Complaint alleges that Thomas Washington purchased the Property in 1997. (SAC ¶ 24.) However, it also alleges that "The real property commonly known as 3161 Euclid Ave, Lynwood, CA 90262 is located in the County of LOS ANGELES in the State of California and is the property of Plaintiffs." (SAC ¶ 2.) The SAC further alleges that Plaintiffs held a first-position mortgage with LC Equity Group before October 2024 and

executed a promissory note, secured by a deed of trust on the Property, for \$535,000 (the Loan). (SAC ¶¶ 27, 30.) It further alleges that a Trustee's Deed Upon Sale transferred ownership of the Property from Plaintiffs. (SAC ¶ 67.) Each of those allegations uses the plural, referring to both Plaintiffs. An allegation that a party owns an interest in real property pleads an ultimate fact. The origin, nature, and extent of the interest are matters for trial, so a demurrer cannot summarily dispose of them. (Metzger v. Bose (1957) 155 Cal.App.2d 131, 133.)

While the allegations in the SAC could be read as contradictory, they are also amenable to a consistent interpretation; the Trust and Washington-Clarke co-owned the Property. Indeed, the recorded Grant Deed named Washington-Clarke as both a grantor and a grantee, and conveyed the Property to Washington, as Trustee, and to Washington-Clarke, individually, as tenants in common. (RJN, Ex. A.) Where a specific allegation is reasonably susceptible of a reading consistent with a general one, liberal construction forbids reading the specific allegation "narrowly and against the pleader" to produce a conflict. (Skopp v. Weaver (1976) 16 Cal.3d 432, 438.) The SAC alleges Plaintiffs' ownership directly, and Demurring Defendants identify no allegation that conclusively negates it. Accordingly, the Demurrer to the SAC is overruled.

CONCLUSION

The Demurrer to the SAC filed by Frank Williams, Williams Capital Group, LLC, and Capital Direct Funding, Inc. is overruled. Demurring Defendants have 20 days to answer.